comfortable margin. Even today "Vanderbilt" has the connotation of rolling-in-dough, filthy rich. His heirs lived the high life, squandering their inherited wealth on yachts, enormous estates, grand parties, and whatever took their fancy. In two generations, they had burned through all of it. According to a scion of the Vanderbilt family, several descendants died penniless, and "when 120 of the Commodore's descendants gathered at Vanderbilt University in 1973 for their first family reunion, there was not a millionaire among them."[64]

Generally speaking, the rich are divided into those with *ultra-high net worth*, which means \$10 million to \$30 million, and those of merely *high net worth*, who range from around \$1 million to \$10 million. (To put this into perspective, the median annual income and net worth of U.S. households are \$46,000 and \$77,000, respectively, according to the 2010 Survey of Consumer Finances.) The absolutely filthy rich sometimes form *family offices*, which manage family assets much like endowments. Some family offices serve multiple families and even manage non-family money. In fact, the richest family offices manage much more than the top endowments, and they provide boutique concierge services to family members (like helping to get Junior admitted to a fancy private school and organizing a last-minute jaunt to the Caribbean).

Capgemini and RBC Wealth Management estimate that high-net worth individuals controlled \$42 trillion in assets in 2012.[65] For comparison, the total market capitalization of stocks listed on the NYSE was around \$14 trillion. The ultra-high net worth and high net worth markets are also growing fast. Approximately half of the wealth resides in the United States and Europe, but Asia is furiously churning out millionaires at the fastest rate. Banks and other intermediaries are eyeing these enormous sums through their *private wealth management* divisions, but they face competition from stand-alone asset management firms.[66] At Columbia Business School, I have taught several students who later started or joined new low-cost firms that help individuals invest on their own.

### 5.1. FAMILY DYNAMICS

The biggest risk for family or individual wealth is what happened to the Vanderbilts: your descendants waste it. Wealthy families and SWFs are actually alike in many ways: the principal aim is to avoid spending all of the money now and instead make it last through future generations. To accomplish this, both need to create robust governance structures to ensure that they can spend slowly. In general, families are terrible at preserving wealth: 70% of family money dissipates in two generations, much like what happened to the Vanderbilts.[67]

[64] From Vanderbilt (1989).

[65] Capgemini and RBC Wealth Management, World Wealth Report 2012.

[66] See "Private Pursuits," *Economist*, May 19, 2012.

[67] Research reported by Sullivan, M., "Lost Inheritance," *WSJ Money*, Spring 2013. The common saying, "From shirtsleeves to shirtsleeves in three generations," is, on average, correct.